

## ENVIRONMENTAL AND SOCIAL PERFORMANCE

In the past, I have shared with you the abiding vision that inspires us to create sustainable stakeholder wealth and enlarge our contribution to the Indian society. This commitment goes far beyond the market to create simultaneously financial, environmental and social capital for the nation. It is for this reason that your Company measures its accomplishments not only in terms of financial results, but also by the impact it has consciously engendered to augment societal value. The Triple Bottom Line approach to creating economic, environmental and social capital unleashes strong multipliers that contribute to making national progress more inclusive and sustainable.

You, the shareholders, can draw immense pride from the fact that ITC is today an acknowledged exemplar in Triple Bottom Line Performance. A few months ago, I had the privilege of receiving, from the hands of the Prime Minister, a prestigious award from an industry Chamber that acknowledged your Company's unique contribution in creating societal capital. Leading organisations across the world have presented awards and accolades to acclaim the leadership your Company is providing to the cause of sustainable and inclusive development.



In a testimony that exemplifies your Company's environmental and social contribution, for **six years in a row**, it has achieved the status of being a **water positive** corporation, generating fresh water harvesting potential over 3 times its consumption. Your Company has also been a **carbon positive** Company for the last 3 consecutive years, sequestering almost twice the carbon emitted from its operations. Stringent environmental processes have enabled your Company to **recycle almost 100% of the solid waste generated** from a number of its plants. **ITC continues to be the only company in the world, of its size and diversity, to have achieved these three vital environmental milestones.**

In addition, your Company's businesses have spurred value chains that today provide **livelihood opportunities for over 5 million people**, many of whom represent the poorest, particularly in rural India.

Your Company's unwavering commitment to the cause of Sustainability finds yet another expression in the voluntary publication of its annual Sustainability Report with independent third party verification. ITC's 2008 Sustainability Report, the fifth in the series, and prepared in accordance with the G3 guidelines of the Global Reporting Initiative will be released shortly. This year, ITC joined the United Nations Global Compact, the world's largest global corporate citizenship initiative. You are already aware that ITC contributes to capacity building for a larger fraternity of sustainable businesses through the co-creation of the CII-ITC Centre for Excellence in Sustainable Development. The Centre has achieved significant success in the short period since its inception.

Your Company will continue to embrace sustainable practices across all its business units. ITC's employees are committed to supporting sustainability as their contribution to fostering inclusive growth in the country.

## REALISING THE INDIAN DREAM

In recent years, India has experienced an unprecedented economic resurgence. The nation has witnessed a structural shift in GDP growth, fuelled largely by new investments and the growth of the value enhancing services sector. Globally, India commands a new respect today and is increasingly being seen as part of a new axis of economic power in the world.



Indeed, there are reasons to believe in the Indian Dream. Early last year, India joined the ranks of 12 countries with a Trillion Dollar GDP in nominal terms. Predictions by several expert groups indicate that real GDP could grow at a compound rate of 6 to 9% over the next two decades, implying a size of the economy that would range between US \$ 3 trillion and US \$ 5 trillion by 2025. By this time, India's population is expected to grow to 1.4 billion. More than 67% of this population, accounting for nearly 940 million people, will be in the productive working age – a demographic dividend that can significantly drive growth. India will continue to be a young country, unlike many others, with 42% of the people being below 25.

In a recent report, the McKinsey Global Institute predicts average household disposable income to almost triple by 2025, registering a higher growth than what was achieved in the past 20 years. The Report also estimates that India's middle class will reach 41% of its population and grow to 583 million people. Indeed, these could signal enormous opportunities for private enterprise and trigger new impulses for sustaining a higher growth trajectory.

**Yet, the greatest concern is that all of this may remain only a distant dream.** The path to realising a new paradigm of high growth is strewn with several fundamental challenges. These can seriously undermine the growth process and derail the pace of progress in the coming years. Unless we take impactful strides in resolving these challenges through focussed policy intervention and radical innovation, we stand the unfortunate prospect of undoing many of the gains made so far.

## CHALLENGES TO SUSTAINING GROWTH

To my mind, the core issues that threaten future development arise from the following challenges.

- First, the challenge of Inclusive Growth and Sustainable Livelihoods.
- Second, the challenge of ensuring Energy Security.
- Third, the challenge of ramping up Agricultural growth and ensuring Food Security, and
- Finally, the challenge of Environmental Security and Climate Change.